

**Time:** 4 minutes**Outcome:** Explain scarcity and identify tradeoffs created by limited resources**Difficulty:** ●○○ Beginner

Scarcity



THE CORE IDEA

Scarcity means people, businesses, and governments have limited resources but unlimited wants. Because resources such as time, money, labor, and raw materials are limited, choices must be made. Every choice involves a tradeoff, and those tradeoffs force individuals and societies to decide how to use scarce resources. Scarcity is the basic problem that economics studies.



HOW TO RECOGNIZE IT

- Resources are limited, but wants are greater than what can be produced.
- A choice must be made between competing uses.
- Getting more of one thing means giving up something else.
- The question focuses on limits, tradeoffs, or unmet wants.



WATCH OUT

Scarcity does not mean there is almost none of a good. It means the good is limited relative to wants. Even time and money are scarce because they have alternative uses.



WORKED EXAMPLE: CHOOSING BETWEEN SCARCE USES

A student has two hours before an exam and must choose between studying economics or finishing a history paper. The student cannot fully do both. This is scarcity because time is limited, so choosing one use means giving up the other.



CHECK YOURSELF

A city has enough money to build either a new park or repair several roads, but not both this year. Why is this an example of scarcity?

**READY?**

Return to the game and master this concept.